

The wealthy often fail to diversify enough. JP Morgan's 2004 white paper, "Beating the Odds: Improving the 15% Probability of Staying Wealthy," identified excessive concentration as the number-one reason the very wealthy lose their fortunes. The 15% probability in the study's title comes from the fact that in the first Forbes list of the richest four hundred people in America, fewer than 15% were still on the list a generation later. While the Forbes 400 tracks the mega-rich, the wealthy below them are also likely to lose their wealth. Kennickell (2011) reports that of the American households in the wealthiest 1% in 2007, approximately one-third fell out of the top 1% two years later.

Entrepreneurs and those generating wealth from a single business often find diversification counterintuitive.¹¹ After all, wasn't it concentrated positions that generated the wealth in the first place? This is the business that they know best, and their large investment in it may be illiquid and hard to diversify. But diversification removes company-specific risk that is outside the control of the manager. Over time, prime real estate ceases to be prime, and once-great companies fail because their products become obsolete. While some companies stumble due to regulatory risk, macro risk, technological change, and sovereign risk, other companies benefit. Diversification reduces these avoidable *idiosyncratic* risks. JP Morgan reports that of the five hundred companies in the S&P 500 index in 1990, only half remained in the index in 2000. Of the thirty titans comprising the original Dow Jones Industrial Average in 1896, only one remains: General Electric. This is testament to the need to diversify, diversify, and diversify if wealth is to be preserved.

Institutional investors also fail to sufficiently diversify. Jarrell and Dorkey (1993) recount the decline of the University of Rochester's endowment. In 1971, Rochester's endowment was \$580 million, making it the fourth largest private university endowment in the country. In 1992, it ranked twentieth among private university endowments. What happened? From 1970 to 1992, the endowment earned only 7% compared to a typical 60%/40% equities–bonds portfolio return of 11%. Had Rochester simply invested in this benchmark portfolio, the endowment would have ranked tenth among private university endowments in 1992. By 2011, Rochester had dropped to thirtieth place.¹² A big reason for Rochester's underperformance was excessive concentration in local companies, especially Eastman Kodak, which filed for bankruptcy in 2012.

Boston University is another example. Over the 1980s and 1990s, Boston University invested heavily in Seragen Inc., then a privately held local biotech company. According to Lerner, Schoar, and Wang (2008), Boston University provided at least \$107 million to Seragen from 1987 to 1997—a fortune considering the school's endowment in 1987 was \$142 million. Seragen went public but

¹¹ See "Stay the Course? Portfolio Advice in the Face of Large Losses," Columbia CaseWorks, ID #110309.

¹² Counting only private university endowments using NACUBO data at 2011 fiscal year end.